Montpelier City Council — Country Club Road Subcommittee

Interview with Chinburg Properties

Pre-Meeting (Scheduling Discussion)

Jake: Sal, you there?

Sal Alfano: I am here. Hi, Jake.

Jake: What's the plan with the other two interviews? Are you just staggering them out?

Sal Alfano: There are three others. We hadn't scheduled DEW yet because we couldn't agree on a time. The other two are early next week, Monday and Tuesday, although one of them may still change. I have Chinburg today. DEW was scheduled for 4:00 on Thursday, but that's no longer the case. ExecuSuite is on Tuesday the 31st at 8:00 AM, and Penrose is Wednesday at 2:00 PM. But ExecuSuite may change.

Jake: And DEW hasn't been scheduled yet?

Sal Alfano: Right, but I think we just scheduled it. I think it's this Thursday. You'll be able to see it later today.

Jake: Is the fiscal analysis available on the website?

Sal Alfano: I'm not sure it is because it's really a confidential document. Three out of the four firms — all their financial information was kept confidential.

Jake: Are we going into executive session for the interview?

Sal Alfano: We are not. We are in open session. If something comes up that they believe is proprietary, they can tell us, and we'll find another way that protects their confidentiality while conforming to open meeting and records ordinance.

Call to Order

Sal Alfano: Welcome, everybody. I will call this meeting of the Montpelier City Council's Country Club Road Subcommittee to order. Our main agenda item today is an interview with the Chinburg Properties team, one of four firms being considered for development of housing on the city-owned land at Country Club Road.

First, I'd like to entertain a motion to change the order of the agenda to move public comment after the interview, giving attendees an opportunity to comment on the interview itself.

Ben Doyle: I move that we move public comment to the end of the meeting after we've concluded the interview with the developers.

Adrian Gill: I'll second.

Sal Alfano: All in favor? Opposed, none. Public comment will be at the end of the meeting.

Our goal today is to ask common questions that will be posed to all four development teams as well as questions customized for the Chinburg Properties team. This process is designed to help us continue evaluating developer proposals and represents our continuing commitment to transparency, fiscal

responsibility, and our goal of creating housing that meets pressing community needs. We expect to complete all four interviews by late next week.

These interviews are being conducted in open session. If any of our questions involve topics of a proprietary nature, please let us know. Answer the best you can, and if we need remaining information, we will find an alternative means that protects confidentiality while acknowledging open meeting law and public records law.

The development team will have up to about ten minutes to present a high-level project overview, after which subcommittee members, city staff, and our consultant Brian Pine will ask questions. With that, I'll turn it over to Brian for introductions.

Introductions

Brian Pine: I'm Brian Pine with Weidenberg Real Estate Advisors. We serve as the city's development consultant on the Country Club Road project. The city councilors are Adrian Gill, Ben Doyle, and Sal Alfano. City staff includes Kelly Currie (city manager), Mike Miller (planning director), and Evelyn Prim (communications director). I'll hand it over to the Chinburg team for introductions.

Paul Goodwin: Good afternoon. We have three members of the Chinburg team here. I'm Paul Goodwin, director of commercial development. We have Matt Asia, EVP of development and asset management, and Eric Chinburg, the founder, president, and CEO of Chinburg Properties and Chinburg Builders.

Eric Chinburg: We're really pleased to be among the four development teams being considered. We're about to celebrate our fortieth year anniversary in building, development, and asset management. We've developed a long history of doing difficult projects in public-private partnerships. That spirit of cooperation is deeply ingrained in our culture. We've done multiple projects — large and small — developing underutilized urban areas, renovating and saving old mills and factories in downtowns, and creating open space conservation developments. We feel this Montpelier project fits our history, experience, and desire.

Project Overview Presentation (Paul Goodwin)

Paul Goodwin: Our proposal focuses on a village center type development strategy. We look to focus development efforts on the lower portion of the site to better utilize the city's investment in infrastructure and deliver more housing more quickly in a compact form. It's also more efficient in terms of keeping the maximum area open for recreation or conservation and encouraging alternative transportation like walking or biking.

We have roughly 310 units proposed in two phases: 250 apartments and 60 for-sale homes. The first phase focuses on the lowermost buildable portion of the site to maximize efficiency for housing delivery and public infrastructure investments.

I do want to step back and say that when putting together our RFP response, we did not fully appreciate the critical nature of the existing recreational facilities. We thought it was more of a recommendation. The team is very open to alternative site plans, reworking this plan to accommodate existing recreational facilities and better align with the community's needs. This was our first pass.

Key elements of the proposal:

- Retaining the existing child care facility with an adjacent play space and a sense of arrival with a landing park or quad
- A central public green utilizing the site's topography for stormwater management
- Transitioning from denser multifamily apartment structures creating the backbone of the site, down to townhomes and then single-family homes — a traditional New England village structure

- Up to 10,000 square feet of optional supporting retail uses focused in the multifamily buildings along the green
- The northern area of the site, where topography is less welcoming for development, is an excellent opportunity for conservation or recreation. A potential future third phase, but not currently anticipated
- Parking planned as surface parking (off-street and on-street) rather than structured parking, though we're open to reassessing as the project progresses

Eric Chinburg: I'm a fan of trying to get structured parking to work in this pro forma. We've done a little looking at the topography and think it's viable. There's a path forward to increasing green space by adding parking under the larger buildings — not a parking garage, just on the lower level of the larger multiunit buildings.

Sal Alfano: So you're thinking underground?

Eric Chinburg: Correct. No additional structures, and there would be more green space.

Paul Goodwin: A good number of our ground-up developments utilize either subsurface parking under the building or some portion of the first story, usually the rear.

Q&A: Building Scale

Sal Alfano: There's been concern about the size of the phase one apartment building — 144 units. It's a pretty immense building. I don't think there's anything close to it anywhere near Washington County. Would you talk about why that is?

Paul Goodwin: We are by no means committed to that building footprint. It's just emblematic of what could be. A four-story building is not out of scale with the community, though the length is perhaps unprecedented for Montpelier. That's easily remedied — it could be reduced to a number of smaller buildings to either maintain the unit count or reduce density. Obviously, there are limitations to project viability when you reduce overall unit count.

Eric Chinburg: I could definitely see taking the larger building and breaking it into two. One of the goals is to create reasonably affordable housing. It's much easier with one building, one elevator stack, and two sets of egress stairs serving a larger building. If we chop buildings up much more than cutting the larger one in half, you really start to struggle with cost per unit and affordability becomes more difficult. It's a trade-off.

Paul Goodwin: We're showing three different multifamily building typologies. The larger building is more efficient — less facade materials, less internal circulation per unit, easier to include resident amenities like a club room or fitness center. The smaller buildings are about 12 apartments each, typically without elevators. This is purely our first pass. We understand this is an iterative process.

Q&A: Unit Mix and Market Assumptions

Ben Doyle: I'm wondering about flexibility in the types of units. The total mix is 250 apartment units — 40% studios, 40% one-bedrooms. What are the market assumptions you're basing that on, and is there flexibility to have more multi-bedroom units?

Eric Chinburg: We're open to what the community desires. We've done a lot of work in New Hampshire and Maine trying to create reasonably affordable apartments. The smaller the apartment, the easier it is to afford. A lot of the need is from recent college graduates, divorcees, or empty nesters. Three-bedroom apartments are an economic challenge — the apartment gets big and you can't keep charging the same per square foot. But we could add some three-bedrooms.

Paul Goodwin: This unit mix comes from our experience managing 2,000+ units. For a rental product, it's typically not more than two bedrooms. Rental properties are typically not child-dense — very few households with school-aged children move into rental properties in our region. The demand for more bedrooms and households with children is likely higher pressure on the for-sale units, which are mostly targeted to be three bedrooms.

Q&A: Homeownership, Smaller Homes, and Schools

Adrian Gill: When we talk to our community, a lot of Montpelierites are looking to purchase homes. We already have a lot of subsidized housing in Montpelier, disproportionate to surrounding towns. For our schools, we want to intentionally have people purchase homes to increase student enrollment — rentals just don't do that. How flexible are you to lower the number of rentals and have smaller homes to attract families?

Eric Chinburg: I'd love to speak to that. I would happily modify this concept. Those smaller multi-unit buildings are going to be very hard to make work as standalone 12-apartment buildings. They could become two-bedroom townhouses at 1,400 square feet. We're very open to that concept and smaller homes. We're doing a pilot project in Charlestown, New Hampshire right now — trying to build 1,400 square foot homes and sell them for less than $500,000. That's a breakeven sale price. We just started marketing and we'll see if it works, but I love the idea.

Q&A: Modular Construction

Sal Alfano: Have you considered or worked with modular construction?

Eric Chinburg: We've done panelized construction in the past. It generally didn't save money but saved a little time. We recently compared full modular versus stick-built for the Charlestown houses, and stick-built was still less expensive. We have really fresh data on that.

Paul Goodwin: I've done at-scale modular building and can reaffirm what Eric said. It is not more cost-effective. It is more time-efficient with a well-coordinated team, and more efficient from a waste stream perspective since it's built in a controlled environment. But it's not a tool in the toolbox to make the project more viable.

Q&A: Construction Costs and Vertical Integration

Ben Doyle: The square footage cost in your proposal — both single family and multifamily — was considerably less expensive. But it doesn't appear you've done a ton of work in Vermont. Can you talk about your relationships with construction firms and how you manage that cost?

Eric Chinburg: We are vertically integrated — we have our own construction company. It builds 100 houses a year and probably 400 apartments a year, and I own it. When I go into a project like this, I'm not at the whim of a builder doing change orders. We keep each other honest, but it's all under the same ownership. The head of our construction team, Rob Nunez, has vast experience in Massachusetts and New Hampshire. We're very good at finding great subcontractors in the areas where we work. We're working in Lewiston, Maine right now and have developed great relationships with local subcontractors and vendors.

Q&A: Energy Efficiency and HVAC

Sal Alfano: What are you proposing for HVAC? Efficient fossil fuel, all electric, or some combination?

Paul Goodwin: For multifamily buildings, we always go for Energy Star rated compliant at minimum. Vermont's energy codes basically require all electric. For heating and cooling, we sometimes have a gas

boiler for hot water depending on the project. For single-family homes, I think we also do all electric. I'm anticipating very energy-efficient heat pumps throughout.

Eric Chinburg: 100% of the homes we've built in the last fifteen years have been Energy Star certified. For seven or eight years in a row, we received a national award for building the most Energy Star homes. We're very aligned with energy efficiency. Highly efficient electric air source heat pumps are generally the way to go.

Q&A: Site Visit and Project Risks

Adrian Gill: Have you all visited the site?

Paul Goodwin: I have not.

Eric Chinburg: I have not either.

Adrian Gill: I live in Montpelier. I think it's one of the most beautiful pieces of land in Montpelier. It's heavily used for recreation — soccer, families up there seven days a week, the day care center with kids doing outdoor play. What are the risks from your perspective?

Eric Chinburg: I've long known about four areas of risk in these projects:

1. **Entitlement risk** — we have no idea if we're going to be doing the project or if what we want to do will get approved by the planning department.
2. **Construction cost risk** — I feel very good about because we control the construction company.
3. **Interest rate risk** — rental properties are very dependent on reasonable interest rates. We have great relationships with lenders and often do forward swaps to fix the current rate into the future.
4. **Market risk** — the biggest one. If we build it, will they come? If we do a $75 million project and start opening doors and there isn't a market, that can keep you up at night.

I have no fear of execution risk. We can build this and work with the community.

Q&A: Infrastructure Financing (CHIP and Catalyst)

Brian Pine: It would be helpful to hear how you envision the infrastructure — not just phasing, but who's paying for construction of infrastructure both to the site and on the site, and who retains ownership and responsibility going forward.

Ben Doyle: To put a finer point on it — the CHIP financing contemplated for this site can be backstopped by either the municipality or the developer. To what degree would you be willing to consider that as a partnership, or do you see this strictly as the city's responsibility?

Paul Goodwin: We understand the CHIP program is a tool that becomes part of the capital stack for making the project work. We're hoping that CHIP combined with the Catalyst grant will provide the backbone enabling infrastructure — rebuilding Country Club Road and building out the core proposed street network. Secondary access like alleys and circulation within lots would be funded and maintained privately. We understand the CHIP program requires our participation and this is a partnership. We're open to taking on some of those responsibilities as we refine the proposal. It's hard to put a fine number on infrastructure needs until we have a site plan the city is greenlighting.

Eric Chinburg: On the schematic, the green roads would be done by the municipality and purple would be us?

Paul Goodwin: Yes. Country Club Road improvements would likely be covered by the Catalyst grant. The green roadways are CHIP-eligible areas. Purple would be purely privately funded.

Brian Pine: Who carries the burden for securing financing? Is that something you're willing to entertain if the city says we're not in a position to bond for this? There are two options under CHIP: the municipality goes to the bond bank, or you as the private entity acquire private financing. The CHIP approach is intended to bypass the lengthy voter approval process that only happens once a year in March.

Ben Doyle: You shouldn't feel bad — no one's done one. It's a new program. You could be the first.

Mike Miller: The payment mechanism is the same — tax revenue pays the bond. In a typical TIF, the city takes out the bond and collects tax revenue to pay it. CHIP allows you to take out the bond or loan. We get the tax revenue and use it to pay your bond. It just puts the risk on you. If you fail to achieve your increment, that falls more on you than on city taxpayers.

Eric Chinburg: Assuming we would be part of creating the increment and it's a reasonable test, I wouldn't have any problem with us borrowing that money if the city is basically paying the debt service. If we thought it was a reasonable risk, that's certainly something we could talk about.

Q&A: Infrastructure Phasing and Construction Timing

Sal Alfano: In terms of phasing — would you start construction on phase one in all areas at once? Would the city need to install all of that infrastructure for phase one, or how much would need to be in place?

Paul Goodwin: The goal would be to run as much of this concurrently as possible. We'd be working with the city on refining the site plan while putting together the CHIP and Catalyst paperwork. Infrastructure should start slightly before the residential component, but it doesn't need to be completed before housing construction starts. Infrastructure and housing development would need to move largely in lockstep.

Matt Asia: It gets to the timing of repayments on the CHIP loan and how in sync it needs to be with housing creation. If there's no housing to pay for it, there's a gap.

Brian Pine: We'll have to figure out the financing stack so you have adequate borrowed capital to cover the first CHIP payments, which would probably come from borrowed capital versus from increment.

Eric Chinburg: Regardless of how we split up the big building, it doesn't take a lot of infrastructure to get to that first multiunit phase, and that's going to be a big bang for the TIF increment buck.

Q&A: Recreation Preservation

Sal Alfano: I want to make sure you understand the recreation situation. The flattest, most heavily used soccer field is right in the middle of your proposed Parking Lot A. The second best is in the middle of Parking Lot B. That whole area is some of the last flat, non-flooding land in the city of Montpelier, which is one reason we're trying to preserve as much of it as possible. The scale of what we're talking about affects this design pretty significantly.

Eric Chinburg: If we can come up with a good compromise on the multiunit building one and not do those smaller buildings there to maintain those fields, that would be a great outcome from my perspective.

Adrian Gill: Coordination and collaboration with Turtle Island — the outdoor day care center — is really important. They currently use a lot of the fields. There are little kids running around outside. How we design it to complement what already exists will be a really important part of this project.

Paul Goodwin: I want to acknowledge the misalignment on the recreation front. That's really at my direction with the design team. I did not realize how critically important those recreation areas were. I thought it was more of a suggestion. Our design team is fantastic — we specifically worked with consultants that have expertise in new urbanist development approaches. I'm supremely confident that working with the city and

our design team, we could accommodate the existing recreation facilities and rework our program to meet the objectives.

Ben Doyle: That flexibility runs both ways. Sal and I have had a long-going dialogue about the soccer fields where my kids play, but also recognizing that everything in this is going to be in balance. It's great to have soccer fields, but the project has to pencil out too.

Q&A: Brownfield Remediation

Ben Doyle: You've done a lot of urban and mill redevelopment. There's been a phase one and phase two done on this site, but there's still additional testing to be done and no corrective action plan in place. Can you speak to your experience with brownfield remediation?

Matt Asia: We had our environmental consultant look at the phase one. It's a former golf course — pesticides were used. The first two feet of material have those pesticides, including the topsoil. Two options: reuse the material on-site through a soil management plan — creating berms and landscaping features — or worst case, go off-site to a landfill. We typically work very hard not to send things to landfills. We have experience working with brownfield consultants and lenders, and there are programs that will fund some of this work. We're not scared of that.

Eric Chinburg: We've probably done projects on a dozen brownfield sites.

Sal Alfano: Your current cost plans don't take remediation into account — it's based on a clean field?

Matt Asia: Cost-wise, yes — only in the sense that we didn't plan to move material to a landfill. Moving material on-site is baked into the general conceptual numbers.

Paul Goodwin: At this level of analysis, it's beyond the RFP scope, but it's certainly something that would be refined, and we have deep experience doing that.

Q&A: Market Risk and Financial Resilience

Sal Alfano: How comfortable are you with your marketing analysis for the quantity and type of units proposed? What happens if it doesn't pan out after phase one?

Eric Chinburg: Our lenders underwrite to a debt coverage ratio of at least 1.2. If we're off by 20%, we have a breakeven project — meaning we don't pay any return to investors, but we still have the money to pay the bank. The project will need about $20 million in equity. We'll likely raise that from a close group of investors who understand us and have been loyal. Worst case, investors won't get a return on their investment.

Our approach to market analysis: we look at Montpelier's relationship to Burlington — they're forty minutes apart. Burlington rents are higher. We project rents commensurate with the Montpelier market. We've done this in Saco, Maine and Lewiston, Maine — comparing to Portland rents and applying discounts based on distance and market conditions. Then we push it forward three years and assume rents go up 2% a year. We plug those numbers in and see if it works.

Paul Goodwin: It's very difficult in a place like Montpelier to have a traditional market study. In Boston, there are dozens of new housing projects that tell you about rents and absorption. The data points are just thinner in places where we work — Lewiston, Maine, Claremont, New Hampshire, Franklin, New Hampshire. What we rely on is that these communities have a lot of pent-up demand for new housing. Many haven't had meaningful new development in a long time. Giving people an option for low-maintenance, energy-efficient, ADA-accessible housing — these things don't exist in the existing housing stock. That pent-up demand is hard to quantify but has made a lot of our projects very successful.

Brian Pine: Banks require market studies, but they're cookie-cutter studies that aren't that useful for what we're talking about here. We're working with a group that does much more in-depth market studies. I'll talk to Paul, Matt, and Eric offline about that approach.

Q&A: Traffic and Site Access

Sal Alfano: In your written answers, you said you had no plans for a second access point. What's that judgment based on?

Paul Goodwin: Past experience. We have projects of similar magnitude with one entry. A big-box store like a Walmart has higher traffic demands than this entire development, and those places often only have one access point. This will need to be validated and refined, but I wouldn't anticipate needing more than one access point for a project of this scale. That said, if the community desires multiple means of access for connectivity or circulation reasons, we are open to that.

Final Questions

Ben Doyle: Mike, did you have any additional questions?

Mike Miller: No, you guys did a great job covering it. I'd love to see some iterative models and other ideas to flesh out how you could refine the drawing. We'll talk among the subcommittee about what we want to ask for.

Eric Chinburg: One more comment on the market study — my 29-year-old daughter is a Vermonter and lives in Waterbury. So I'll ask her and her friends to understand what's really available there.

Public Comment — Steve Whitaker

Sal Alfano: We have about ten minutes left. I'm going to open it up for public comment. Mr. Whitaker?

Steve Whitaker: My name is Steve Whitaker. I'm concerned that this process has skipped the planning that was supposed to come first. Vermont statute assigns master planning responsibility to the planning commission with mandatory public participation. White and Burke's own 2023 deliverable was explicit in describing a phase two master planning process. RFP development was to follow environmental assessment, community working groups, and housing needs assessment. None of those prerequisites were completed. The planning commission was sidelined. The working groups were never convened. Twenty-seven months after the flood, the city jumped straight to developer selection.

The public statutory right to shape this decision was bypassed. Under the city charter, approximately 300 registered voter signatures can force a legally binding article onto the city meeting warning requiring voter approval before any land disposition. That option remains on the table.

The contract that launched this process was kept secret. The White and Burke agreement was never disclosed before the council voted to approve it at midnight. A public records request filed before that vote was refused. The contract contains a 3% contingent fee tied to grand list value increases from whatever you build here, paid out over years post-closing, giving the consultants steering the selection a direct financial stake in the intensity of your development. That structure was never disclosed to the public. It raises conflict concerns under federal procurement standards attached to the funding streams this project depends on.

That contract is now the subject of a preliminary injunction proceeding in superior court. A related matter is before the Vermont Supreme Court challenging regional approval of the city plan, which omitted a CCR master plan. The legal foundation of the process you're interviewed under today is genuinely contested.

You can't propose a site plan here with the ground truth missing. The property is an umbrella-enrolled brownfield with documented contamination of lead, arsenic, mercury, and heptachlor epoxide. The phase two ESA is incomplete. The supplemental site assessment — which defines buildable versus restricted areas and determines cleanup costs — has no approved work plan and has not even commenced. You don't have any real idea where you can build. You don't know what remediation will cost, and you can't responsibly propose TIF or CHIP financing when the land may carry a stigma of toxicity that suppresses rather than increases taxable value.

The civic framework hasn't been established either. This isn't just a housing site. Light industrial, commerce, community facilities, disaster resilience, recreation, and transportation requirements haven't been programmed. Traffic capacity on Route 2 at CCR has never been analyzed for the scale contemplated. The city's own officials have told regional planning bodies there's no housing project while simultaneously representing to federal funders that the infrastructure will support hundreds of units. That inconsistency is now the subject of federal compliance challenges filed with HUD and the Department of Transportation.

What you're being asked to propose is a site plan without environmental clearance, a finance structure without a known tax base, a housing program without a civic framework, and a transaction whose legal authorization is under active judicial challenge. I'm not here to stop housing in Montpelier. I'm here to promote honest governance and accountability, because a developer who proceeds under these conditions is not building on solid ground.

Closing Remarks

Sal Alfano: Thank you, Steve. Would any other member of the public care to make a comment? Well, thank you. I greatly appreciate the time of the Chinburg team. It was great to see you. If we have some follow-up questions — we didn't quite get to everything we hoped — we appreciate your willingness to help us with written answers to a couple more questions.

Ben Doyle: Just real quickly — thank you for the thoughtful conversation and the thought you put into the proposal. It was really heartening to hear about your experience and your willingness to be flexible and collaborative with the city. However this works out, I deeply appreciate you folks believing in our community enough to submit a proposal like this.

Paul Goodwin: Thank you. It's been a pleasure connecting with you all. We'll keep our ears and eyes open for any follow-up questions.

Sal Alfano: We're adjourned at 1:11 PM.